

Message 1 of 21

FW: LI and CO2

Sender	willis.philip@enron.com
Recipients	['gautam.gupta@enron.com', 'robert.benson@enron.com', 'j..broderick@enron.com']
File	benson-r/inbox/237.

Wow - this is potentially HUGE. I will keep you all posted as far as any developments. I do not think this is on anyone's radar screen.

-----Original Message-----

From: Schoen, Mary Sent: Tuesday, August 21, 2001 3:25 PM To: Philip, Willis Subject: RE: LI and CO2

Willis - that would be great.

We have some very tentative information on NYC: there is a proposed law currently in committee at the NYC City Council level. The law would require EGUs greater than 25 MW to reduce CO2 according to a schedule set out in the rule, eventually leading to a 30% reduction from 1999 levels. A trading program would be possible and there is a fine of \$5 for every ton above the allowed emission rates.

We are working on getting a copy of the proposed rule and the status of the rule. Will keep you posted.

Thx.

Mary

Mary Schoen Environmental Strategies Enron Corp 415.782.7803 (phone) 415.782.7854 (fax)

-----Original Message-----

From: Philip, Willis Sent: Tuesday, August 21, 2001 12:07 PM To: Schoen, Mary Subject: RE: LI and CO2

Thanks Mary. Please let me know if you find anything else, and what you find insofar as similar developing legislation in NYC. I will send you a list of threatened plants in Suffolk, if you are interested.

Willis

-----Original Message-----

From: Schoen, Mary Sent: Tuesday, August 21, 2001 12:00 PM To: Philip, Willis Cc: Jacobson, Lisa Subject: FW: LI and CO2

Here is a copy of the press release from Suffolk County. I'm not sure if it is any more informative than the Electric Power Daily blurb. Lisa and I are working on gathering more details for you.

Mary Schoen Environmental Strategies Enron Corp 415.782.7803 (phone) 415.782.7854 (fax)

-----Original Message-----

From: Jacobson, Lisa Sent: Tuesday, August 21, 2001 9:18 AM To: Schoen, Mary Cc: Keeler, Jeff Subject: LI and CO2

Got it -- let's talk before I call the County office. I have several questions myself. Thanks.

<http://www.co.suffolk.ny.us/exec/press/2001/emissions.html>

Under the law taking affect March 1, 2002 any power plant in the county that generates over 1,800 pounds of CO2 emissions per Megawatt/hour would be fined two dollars for every ton above the limit. An additional \$1 per excess ton would be charged in each consecutive year. The bill contains several alternatives to paying fines including buying emission credits through nationally recognized CO2 trading markets, investing in alternative energy sources or donating penalties to community environmental groups. The Suffolk County Department of Health Services will be responsible for compliance and will set rules and reporting requirements by October 1, 2001.

Lisa Jacobson Enron Manager, Environmental Strategies 1775 Eye Street, NW Suite 800 Washington, DC 20006

Phone: +(202) 466-9176 Fax: +(202) 331-4717

Message 2 of 21

NY TCCs	
Sender	pete.heintzelman@enron.com
Recipients	['robert.benson@enron.com', 'dana.davis@enron.com', 'joseph.wagner@enron.com', 'narsimha.misra@enron.com']
File	benson-r/inbox/56.

Guys,

Navigant is now following up with us regarding the TCC bids in the CH Resources auction. We did make the 2nd round as you may recall (for TCCs only), but I need to know whether you guys are still interested given many changes since then.

Contract ID# 2645 2646 Start Date 11/01/2000 11/01/2000 End Date 10/31/2005 10/31/2002 Point of Injection ID# 61752 61752 Point of Injection Name West West Point of Injection Zone Zone A Zone A Point of Withdrawal ID# 61758 61758 Point of Withdrawal Name Hud VL Hud VL Point of Withdrawal Zone Zone G Zone G Summer MW 46 4 Winter MW 46 4

Please advise. Thanks.

Pete

Peter J. Heintzelman Manager, Northeast Power Origination Office 713-345-7024 Cell 713-553-4353

Message 3 of 21

RSVP REQUESTED - Emissions Strategy Meeting....	
Sender	lisa.jacobson@enron.com
Recipients	['lisa.jacobson@enron.com', 'kevin.mcgowan@enron.com', 'daniel.reck@enron.com']
File	benson-r/notes_inbox/61.

Due to some problems with my email yesterday, I may not have received your RSVP.....please excuse any confusion this may have caused.

RSVP REQUESTED!

The Environmental Strategies Group will convene an "Emissions Strategy Meeting" on Friday, May 18 to discuss global emissions issues -- such as air quality regulation, climate change and U.S. multipollutant legislation -- and explore some of the potential business opportunities for Enron commercial groups.

WHEN: Friday, May 18 TIME: 10:00 am - 3:00 pm - lunch will be provided WHERE: Enron Building, 8C1 (8th floor)

A video conference is being organized to enable broad participation from the London office and a teleconference will be set up for others who would like to call in.

The primary objectives of the session are to 1) provide you with the latest information on emissions regulation, markets, and Enron's advocacy efforts worldwide and 2) receive feedback on your commercial interests and input on policy options so that we may develop the best business and policy strategies for Enron in both the short and long term. We invite you or a member of your group to participate in this important strategic discussion.

Please RSVP as soon as possible and let us know if you plan to participate in person, via teleconference or via video conference from the London office.

An agenda is forthcoming. If you have any questions or suggestions in advance of the meeting, please do not hesitate to contact me or Jeff Keeler.

We look forward to your participation.

Lisa Jacobson Enron Manager, Environmental Strategies 1775 Eye Street, NW Suite 800 Washington, DC 20006

Phone: +(202) 466-9176 Fax: +(202) 331-4717

Message 4 of 21

FW: New York Power Authority RFP

Sender	rob.wheeler@enron.com
Recipients	[gautam.gupta@enron.com', 'Jordan', 'robert.benson@enron.com', 'Brandeis']
File	benson-r/inbox/207.

Attached is an RFP from NYPA. They are seeking our offers for all Zones in NY from 2004-2013. There is a lot of latitude in pricing just on-peak, off peak, weekends, etc... Please take a look and tell me if you have any interest.

Thanks, Rob

-----Original Message-----

From: Santiago, Vivian [mailto:Vivian.Santiago@nypa.gov] Sent: Tuesday, August 07, 2001 12:30 PM To: Wheeler, Rob
Cc: Brandeis, Jordan Subject: New York Power Authority RFP

CONFIDENTIAL & PROPRIETARY

To interested parties,

In response to your expressed interest, attached please find the New York Power Authority's Request for Proposal ("RFP") LTS No. 1 for the Long-Term Supply of Installed Capacity and Energy.

Please note that there are 2 attachments:

1. "RFP.DOC" - the Request for Proposal 2. "RFPforms.xls" - a 14 page attachment of all the necessary forms on which to indicate your bids. When in the print option, select "Entire Workbook" to ensure printing of all the pages.

A pre-bid conference will be held at our office at 123 Main Street, White Plains, NY 10601 on Thursday, August 16, 2001 at 10 AM. A short presentation highlighting the key points of the RFP will be given, followed by a question and answer period. To accommodate those of you who cannot attend in person, we will be establishing a call-in number so you can participate by conference call. Please e-mail the sender on or after August 13 and we will provide you with the call-in number.

Bids must be received no later than August 30, 2001 at 5 PM (CDT). Four (4) copies of your bid must be sent to Dr. John Chamberlin at:

Xenergy, Inc. 2001 W. Beltline Hwy. Suite 200 Madison, WI 53713

In addition, please send an electronic copy of your proposal to Dr. Chamberlin. You may send a diskette with your hard copies, or you may send an e-mail to Dr. Chamberlin at nypaproposal@xenergy.com by the date required.

If you have any questions please call Jordan Brandeis - Director of Supply Planning at (914) 681-6403 or e-mail him at jordan.brandeis@nypa.gov

Finally, please acknowledge receipt of this e-mail by reply to the sender.

Thank you.

<<RFP.doc>> <<RFPforms.xls>>

Message 5 of 21

FW: Consolidated Edison Company of New York ("Con Ed")

Sender	rob.wheeler@enron.com
Recipients	['dana.davis@enron.com', 'robert.benson@enron.com']
File	benson-r/deleted_items/173.

I just wanted to give you guys an update on the current Coned ISDA issues. Will keep you posted on the progress.

Rob

-----Original Message-----

From: Shackleton, Sara Sent: Thursday, October 18, 2001 5:06 PM To: Sacks, Edward; Wheeler, Rob Subject: Consolidated Edison Company of New York ("Con Ed")

I had a long conversation with Sylvia Dooley this afternoon. She contacted me about finalizing the Con Ed ISDA Master Agreement and the "related" Consolidated Edison Energy (same lawyer, different commercial) master. Sylvia is preparing a new version.

We have a lot of open issues, most appearing on the open issue list that I just circulated to you both. However, Sylvia and I identified some significant credit issues which we should address now.

Ed: In addition to finalizing the credit matrix, the big ticket issues include the following items and (according to Sylvia) you should probably call Triche Douglas right away to resolve as she is being moved to another project and may not be available for ISDA negotiations much longer:

- (1) credit event upon merger: Con Ed coming back with newer definition of "materially weaker". Con Ed rejects ENA's proposal
- (2) Con Ed is still rejecting our setoff language. I will send our newer language but the substance is the same as before.
- (3) will not agree to our transfer language (i.e., always want to consent for purposes of transfer and no carve out for guaranteed affiliates)
- (4) want an extra day for delivering L/C's
- (5) issue about notification time for requesting collateral. Con Ed wants 1 pm NY time; we countered with 11 am NY time.
- (6) are insisting that parties obtain consent for substitution of collateral
- (7) major issue with respect to holding/using collateral. Con Ed will propose that with respect to ENA, only Enron Corp. can hold collateral and Enron Corp.'s eligibility to hold collateral will be tied to credit rating of BBB
- (8) major issue defining MAC: no one has come up with a MAC

Given my conversation of this afternoon, please let me know how you would like to proceed. Rob, will you be handling both Con Ed entities?

Sara Shackleton Enron Wholesale Services 1400 Smith Street, EB3801a Houston, TX 77002 Ph: (713) 853-5620 Fax: (713) 646-3490

Message 6 of 21

FW: New UBS Phone Numbers

Sender	jae.black@enron.com
Recipients	['andy.zipper@enron.com', 'jason.kaniss@enron.com', 'Lloyd', 'carrie.larkworthy@enron.com', 'Bentley', 'Debra;...]
File	benson-r/deleted_items/70.

FYI...

-----Original Message-----

From: Bentley, Corry Sent: Thu 2/28/2002 4:00 PM To: Black, Tamara Jae Cc: Bentley, Corry; Bailey, Debra; Will, Lloyd
Subject: New UBS Phone Numbers

T Jae,

Please inform the East Power Group that our new toll free numbers will be as follows:

East Power - 24 HOUR Number 1-888-UBS-4122 or 1-888-827-4122

East Power - SCHEDULING Number 1-888-UBS-4132 or 1-888-827-4132

East Power - FAX Number 713-584-2138

UBS Texas Desk 1-888-UBS-4250 or 1-888-827-4250

Thanks,

Corry Bentley 713-853-0421

Message 7 of 21

long-term PJM tolling opportunity

Sender	john.llodra@enron.com
Recipients	['robert.benson@enron.com', 'dana.davis@enron.com', 'george.wood@enron.com', 'chris.calger@enron.com']
File	benson-r/inbox/52.

All

Learned of an opp today for a L.T. physical toll on a peaking plant in PJM. Probably way too early for this, but we may be able to follow this one and act when we're further along. Here are the details:

Plant is being developed by PPL - consists of 10 LM 6000's, due online by May 03 (~450 MW). turbines will be on site shortly w/ construction due to start in April PPL has entered an LOI to sell the completed plant to a team of investors led by John Hancock Financial (their Arclight division, or something like that) seeking 20-25 year toll Electric interconnection is South Acron bus (Lancaster, PA - eastern PJM) Gas interconnection is direct to Columbia mainline They are looking for an indicative number this monday, but admitted that it'll stretch out for at least a few weeks.

I'm in Houston through end of today, so please swing by or call me tomorrow at 978-449-9936 if you wish to discuss.
thanks

John C. Llodra Executive Director, Northeast Power Marketing UBS Warburg Energy Office: 978-449-9936 Cell:
978-314-5614 Fax: 978-449-9937 john.llodra@ubswenergy.com

Message 8 of 21

CAN YOU HELP ME? --- Rob Benson

Sender	arusiagbara@yahoo.com
Recipients	['robert.benson@enron.com']
File	benson-r/deleted_items/29.

FROM Dr Arusi Agbara. AUDITING AND ACCOUNTING UNIT. FOREIGN REMITTANCE DEPT. AFRICAN
INTERNATIONAL BANK. LOME-TOGO. TEL:00228-911-40-37. FAX:00228-222-45-84

DEAR, (CONFIDENTIAL PLEASE)

I am Dr Arusi Agbara, chief accountant for the bills and credits in the foreign remittance dept. section of

African International Bank Lome-Togo in west Africa with due respect and regard. I have decided to contact you on a business transaction that will be very beneficial to both of us at the end of the transaction.

During our investigation and auditing in this bank, my department came across a very huge sum of money belonging to a deceased person who died on november 1992 in a plane crash and the fund has been dormant in his account with this Bank without any claim of the fund in our custody either from his family or relation before our discovery to this development.

Although personally, I keep this information secret within myself and partner to enable the whole plans and idea be Profitable and successful during the time of execution. The said amount was \$6,500,000.00usd(six million five hundred thousand united states dollars).

As it may interest you to know, I got your impressive information through my good friends who works with chamber of commerce on foreign business relations here in Lome-Togo. It is him who recommended your person to me to be viable and capable to champion a business of such magnitude without any problem .

Meanwhile all the whole arrangements to put claim over this fund as the bonafide next of kin to the deceased, get the required approval and transfer this money to a foreign account has been put in place and directives and needed information will be relayed to you as soon as you indicate your interest and willingness to assist us and also benefit your self to this great business opportunity.

In fact I could have done this deal alone but because of my position in this country as a civil servant, we are not allowed to operate a foreign account and would eventually raise an eye brow on my side during the time of transfer because I work in this bank.

This is the actual reason why it will require a second party or fellow who will forward claims as the next of kin with affidavit of trust of oath to the Bank and also present a foreign account where he will need the money to be re-transferred into, on his request as it may be after due verification and clarification by the correspondent branch of the bank where the whole money will be remitted from to your own designation bank account.

I will not fail to inform you that this transaction is 100% risk free. On smooth conclusion of this transaction, you will be entitled to 30% of the total sum as gratification, while 10% will be set aside to take care of expenses that may arise during the time of transfer and also telephone and fax bills, while 60% will be for me and my partner.

Please, you have been adviced to keep top secret as we are still in service and intend to retire from service after we conclude this deal with you. I will be monitoring the whole situation here in this bank until you confirm the money in your account. and ask us to come down to your country for subsequent sharing of the fund according to percentage.

previously indicated and further investment, either in your country or any country you advice us to invest in. All other necessary information will be sent to you when I hear from you. I suggest you get back to me as soon as possible, stating your wish in this deal.

Yours faithfully, Dr.Arusi Agbara. TEL:00228-911-40-37. FAX:00228-222-45-84.

Do You Yahoo!? Great stuff seeking new owners in Yahoo! Auctions! <http://auctions.yahoo.com>

Message 9 of 21

FW: Monday morning NorthEast Originaion meeting

Sender	janelle.scheuer@enron.com
Recipients	['dana.davis@enron.com', 'joe.quenet@enron.com', 'm..presto@enron.com', 'gautam.gupta@enron.com']
File	benson-r/inbox/135.

We are starting NE origination meetings on Monday at 11:00 in 3143B. Wanted to extend the invitation to you guys if you want to know more about the deals we are working on than is listed on the hotlist. -----Original Message----- From: Scheuer, Janelle Sent: Friday, September 14, 2001 2:20 PM To: Marks, David; Keeney, William; Letzerich, Palmer; Sell, Maximilian; Luong, Steven; Llodra, John Cc: Duran, W. David Subject: FW: Monday morning NorthEast Originaion meeting Importance: High

Our first NE Origination meeting will be Monday at 11:00, in Conference room 3143B. Dial in number and agenda ideas below. Janelle

-----Original Message-----

From: Rode, Tina Sent: Monday, September 10, 2001 1:38 PM To: Scheuer, Janelle Subject: RE: Monday morning NorthEast Originaion meeting Importance: High

Janelle,

I reserved conference room 3143B at 11:00am starting Monday 17th following each Monday after that until the end of the year.

Your dial in number w/three participants line is: 800-713-8600 pass code is 9940.

Thanks,

Tina Rode Assistant to Dave Duran 713-853-9582 Cell 713-419-6237

-----Original Message-----

From: Scheuer, Janelle Sent: Monday, September 10, 2001 8:15 AM To: Marks, David; Keeney, William; Letzerich, Palmer; Vettters, Charles; Sell, Maximilian; Luong, Steven; Llodra, John Cc: Duran, W. David; Rode, Tina Subject: Monday morning NorthEast Originaion meeting

Starting Next Monday (Sep 17), we will be having a Northeast origination meeting for those wishing to attend. Agenda will be: - Deal update (and discription if new) - Any brainstorm ideas to push deals forward - Task required to move deals forward - Assignment of tasks (strongly suggested that associates and analysts attend) - Issues and questions

Will will set up a consistant time and place for every monday morning, along with dial-in numbers for remote locations (Hi John!) If there are any time preferences or additional agenda items you would like to include, please email them to me by tomorrow, so we can get the room and dial in organized. This is meant to be very breif, and to ensure everyone cabapilities are effectively applied to all potential transactions. Thanks, Janelle

Message 10 of 21

NEW! Heat Rate Charts -- in MetaStock.

Sender	anna.santucci@enron.com
Recipients	['robert.benson@enron.com', 'mark.symms@enron.com', 'russell.ballato@enron.com', 'diana.allen@enron.com', 'har...]
File	benson-r/discussion_threads/43.

Hi All,

As of today, MetaStock has several new functions. The most important new feature is the ability to display forward HEAT RATE charts. Also, notice that the interface looks different -- this reflects and accommodates the new features. The help files (on the left of the applet) fully describe and explain all the changes and additions to the program.

If you have any questions regarding this new version of MetaStock, please contact Anna Santucci (x. 34225) for user questions or Mark Symms (x. 33105) for technical questions. And, of course, you can ask these questions once you log into the MegaWatt Station (the virtual one).

Message 11 of 21

Mid-Year 2001 Performance Feedback

Sender	perfmgmt@enron.com
Recipients	[robert.benson@enron.com]
File	benson-r/all_documents/77.

BENSON, ROBERT C, ? The PEP system closes on Friday, May 25, 2001 ? Our records indicate that you have been requested to provide feedback on one or more Enron employees. The deadline for completing feedback is Friday, May 25th. ? Below is a list of feedback requests with a status of "OPEN". Please complete or decline these requests as soon as possible by logging into PEP at <http://pep.enron.com> and selecting Complete Feedback from the Main Menu. ? If you have any questions, please contact the PEP Help Desk at: Houston: 713-853-4777, Option 4 or email: perfmgmt@enron.com London: 44 207 783 4040, Option 4 or email: pep.enquiries@enron.com ? Thank you for your participation in this important process. ? Employee Name: PIWETZ, STEPHANIE THOMPSON, KERRI VALDERRAMA, LARRY

Message 12 of 21

PIRA's Monthly Gas Forecasts 11/20/01

Sender	distribution@pira.com
Recipients	[greg@pira.com]
File	benson-r/deleted_items/112.

Attached is PIRA's latest "Monthly Gas Forecast."

If you have any questions regarding the report's content, please contact: Greg Shuttlesworth (email: greg@pira.com), Tom Howard (email: tazh@pira.com), Richard Redash (email: Rich@pira.com), Nobu Tarui (email: nobuo@pira.com) or Jane Hsu (email: jane@pira.com), at (212) 686-6808.

Contact Client Services regarding PIRA report distribution and address changes at (212) 686-6808, email: support@pira.com.

NOTE: Circulation of the "Monthly Gas Forecast" outside a Client's licensed distribution area is strictly prohibited. Clients that are unsure of their licensed distribution or require an extension of their current license should contact their PIRA sales representative, or email to sales@pira.com.

PIRA Energy Group

- gasnov01.pdf

Message 13 of 21

RE: Hi Rob

Sender	robert.benson@enron.com
Recipients	[harrysarora@yahoo.com]
File	benson-r/sent_items/8.

-----Original Message-----

From: Harry Arora [<mailto:harrysarora@yahoo.com>] Sent: Saturday, February 23, 2002 12:51 PM To: Benson, Robert; rob.benson@ubswenergy.com; Benson, Robert Subject: Hi Rob

Hi Rob

Hope you are doing well. What about getting together for drinks after work sometime next week.

Also, would you be interested in buying my Houstonian membership. The entry fee for new members is \$9000, I am ready to sell mine for \$6500. Its pretty lavish locker-rooms and facilities.

Email me or call me 713-802-0560 (cell 832-723-6363) when you get a chance.

Harry

Hey man,

Drinks sound good, Wed or Thurs would be good for me. I am interested in your Houstonian membership, but are you sure you can sell it to me.

Do You Yahoo!? Yahoo! Sports <<http://sports.yahoo.com/oly>> - Coverage of the 2002 Olympic Games

Message 14 of 21

NOx 126 Rule Litigation - Decision Released Today

Sender	jeffrey.keeler@enron.com
Recipients	['lisa.jacobson@enron.com', 'stacey.bolton@enron.com', 'kevin.mcgowan@enron.com', 'adam.siegel@enron.com', 'jo...]
File	benson-r/discussion_threads/45.

The Federal Appeals Court ruling in the litigation over the EPA's Section 126 NOx Rule was just released. From a quick scan it looks like the court mostly upheld the EPA positions, and the Rule will go forward as planned (impelmentation May 2003).

However, there are a few things remanded to the EPA for review and it's possible this along with the delay associated with these remands could cause a delay in implementation. I'm also picking up from EPA sources that there may be an effort underway to examine EPA's legal options for synchronizing the 126 and NOx SIP implementation dates to summer 2004.

I am reviewing the ruling in more detail and will have more detailed analysis to you shortly.

Jeff

PS Here's a link to the full ruling if any of you aspiring lawyers want to take a look yourself....

<http://pacer.cadc.uscourts.gov/common/opinions/200105/99-1200a.txt>

Jeffrey Keeler Director, Environmental Strategies Enron Washington DC office - (202) 466-9157 Cell Phone (203) 464-1541

Message 15 of 21

CORRECTION- Routing of Calls to EES Business Center

Sender	40enron@enron.com
Recipients	[]
File	benson-r/inbox/80.

Please note the correction to the following memo. The phone number is 800-337-7827 (800-EES-SVCS). Please accept my apologies for any inconvenience this may have caused anyone.

EES Office of the Chairman From: Dave Delainey- Chairman & CEO@ENRON on 09/05/2001 05:48 PM Sent by: Enron Announcements@ENRON To: All Enron Employees North America cc: Subject: Routing of Calls to EES Business Center

Enron Energy Services has one single entry point for all customer leads and service issues - The EES Business Center. Your assistance is requested in routing all retail customer calls to this center. The Business Center can manage general customer service requests or provide information on EES product offerings.

The number for the EES Business Center is 800-337-7837 (800-EES-SVCS) or internally, calls can be transferred to x59390. E-Mail address is: EESBusinessCenter@enron.com

Thank you for taking the time to route these calls appropriately. Your assistance is critical to Enron's customer acquisition success and to ensure our customers' satisfaction.

Message 16 of 21

Access to UBSWenergy Production Environment

Sender	stephanie.sever@enron.com
Recipients	[robert.benson@enron.com]
File	benson-r/inbox/6.

IMPORTANT - THE IDS BELOW WILL BE YOUR PERMANENT ACCESS TO PRODUCTION

Your PRODUCTION User ID and Password has been set up on UBSWenergy. Please follow the steps below to access the new environment:

From Internet Explorer connect to the UBSWenergy Production Cluster through the following link:

<http://remoteservices.netco.enron.com/ica/ubswenergy.ica> (use your UBSWenergy/Enron NT Log In & Password)

From the second Start menu, select appropriate application:

STACK MANAGER User ID: rbenson Password: q#9M#npX (Please Change)

Below is a special internal use only link for the simulation purposes only to get to the trading area of the website. DO NOT PROVIDE THIS LINK TO ANYONE NOT PART OF THE SIMULATION. (customers should be directed to go to the direct link www.ubswenergy.com).

http://www.ubswenergy.com/site_index.html (FOR SIMULATION ONLY)

WEBSITE - Book (NETCO-LT-PJM) User ID: MUS29289 Password: WELCOME!

Should you have any questions or issues, please contact me at x33465 or the Call Center at 713-584-4444

Thank you,

Stephanie Sever 713-853-3465

Message 17 of 21

"Caring for the Caregiver" - MD Anderson Brown Bag

Sender	40enron@enron.com
Recipients	[]
File	benson-r/inbox/197.

The cancer journey is sometimes lonely and frustrating for both those suffering with the disease and those providing care. But it can also be a time of friendship, personal growth, humor, and fulfillment.

Please join Marlene Lockey, Sr. Social Work Counselor at MD Anderson Cancer Center on Wednesday, August 15, 2001 at 11:30 a.m. in the Forum in 2AC (12th floor) for a Brown Bag session on "Caring for the Caregiver." Marlene has many stories to share, as well as many ways to cope with the challenges of living with cancer. The presentation will be followed

by an audience discussion, so please bring your questions and experiences. Contact Laura Herrera -laura.herrera@enron.com - if you would like to attend.

In addition to the brown bag session, MD Anderson Cancer Center will be hosting a two-day conference entitled "Living Fully With Cancer," September 6-8, 2001. For more information on the conference, please call MD Anderson at (713) 792-2553 or toll free at (800) 345-6324.

Cancer is the nation's No. 1 health concern. How much do you really know about the disease? Find out by taking the American Cancer Society - Discovery Health Channel quiz <http://health.discovery.com/tools/quiz/acs/cancer_quiz.html>. Then learn how to reduce your risk of cancer by viewing a new series of informational ads <<http://health.discovery.com/convergence/acs/acs.html>> now showing on the Discovery Health Channel.

Do you have cancer or know someone who does? There's hope. Call MD Anderson today.

Message 18 of 21

Calpine Pre-pay Update

Sender	jim.meyn@enron.com
Recipients	['robert.benson@enron.com', 'm..presto@enron.com', 'narsimha.misra@enron.com', 'carl.tricoli@enron.com']
File	benson-r/inbox/155.

Sorry for the delay in updating you, but we've spent this past week working through credit-related issues in support of this transaction. I've attached our most recent communication to Calpine, and we have begun discussions on which market regions can be supported under this transaction by Calpine's merchant portfolio. We will be meeting with Calpine next Tuesday to discuss the size of the transaction and determine the positions and regions that best suit Enron & Calpine. We will continue to push for PJM-E and Nepool components based on our earlier discussions, but I suspect FRCC volumes will end up being much less than listed in the term sheet below.

Dana, currently EES has subscribed for the 50mw RTC energy listed in the term sheet below. I will follow up with you today to see if you have any interest in expanding our Nepool subscription.

Timeline is still a little uncertain, but we are pushing to close by Nov 15. Please let me know if you have any questions.

Thanks

- Jim

FYI - here is the most recent VAR analysis we ran on these positions (based on positions in the book on 10/4/01)

-----Original Message-----

From: Grace Jr., James Sent: Wednesday, October 17, 2001 9:23 AM To: 'bharenza@calpine.com' Cc: Tricoli, Carl; Kiani-Aslani, John; Heintzelman, Pete Subject: Proposed Prepayment Structure

Brian:

Attached are a draft letter of understanding and term sheet describing the proposed Master Power Prepayment Agreement. We have also enclosed a summary explanation that is very useful in describing, step-by-step, the entire transaction. Please give Carl (713-345-8958) or me (713-345-7702) a call if you have any questions or comments.

We look forward to hearing from you soon.

Jim

Message 19 of 21

Enron Comments to EPA on New Source Review

Sender	jeffrey.keeler@enron.com
Recipients	['john.massey@enron.com', 'trevor.woods@enron.com', 'kevin.mcgowan@enron.com']
File	benson-r/inbox/large_messages/13.

As part of the Bush National Energy Plan, EPA was instructed to undertake a "90 Day Review" of New Source Review (NSR) regulations and report to the President on August 17, 2001 on "how NSR is affecting the energy industry." One month later, it will make more specific recommendations as to possible changes that could be made to NSR.

While EPA's review includes long-term options like complete legislative overhaul of the Clean Air Act, it is likely that it will consider many of the more short term options available to it under existing regulatory/administrative authority.

In the process of developing its recommendations, EPA published a "Background Paper" and opened a docket soliciting public comment on a broad range of issues pertaining to NSR. EPA has also held public hearings and numerous stakeholder meetings. Enron participated in stakeholder meetings, and also submitted written comments -- as part of several organizations (EPSA, Clean Power Group, INGAA) and individually.

The attached Enron comments, submitted last Friday, July 27, reflect input from numerous commercial sources. NSR impacts a number of commercial interests, including: development, siting and finance of new power plants; origination activities with customers seeking to upgrade, expand or modify power facilities; trading/risk management for power, gas, coal, emissions allowances; finance/deployment of emissions control technologies; industrial markets such as forest products, steel, refining/chemicals power generation and natural gas pipeline operations

We will continue to have opportunities to provide input into the process through EPA and the Administration, and would welcome further comments or examples of impact on our businesses. Please let me know if you have any questions, or would like additional background information. I will keep you posted on the progress of this issue as developments occur.

Jeffrey Keeler Director, Environmental Strategies Enron Washington DC office - (202) 466-9157 Cell Phone (203) 464-1541

Message 20 of 21

Court Decision on NOx - EPA Section 126 Rule

Sender	jeff.keeler@enron.com
Recipients	['k.allen@enron.com', 'jeff.keeler@enron.com', 'naveed.ahmed@enron.com', 'scott.affelt@enron.com']
File	benson-r/inbox/267.

The U.S. Circuit Court of Appeals, DC Circuit, issued a ruling today on the EPA Section 126 Rule. (As brief background, the 126 Rule would have required compliance with more stringent summer-season NOx caps starting in May 2003 in several northeast and Midwest states)

The Order states:

"It is Ordered that EPA's Section 126 Rule is remanded as to all cogenerators, but vacated only as to those cogenerators classified as electric generating units ("EGUs") under the rule that supply equal to or less than one third of their potential capacity or equal to or less than 25 MW to the grid for sale per year." Translation: This part of the order appears to "vacate" or completely throw out the 126 rule for small cogen units (under 25 MW) or cogen units selling less than 1/3 into the grid. For all other cogenerators, the court remands the rule to EPA for re-working, consistent with some of the court's earlier objections about EPA's handling of cogens. Impact: EPA will need to go back and formulate rules for cogens altogether, so there is currently no NOx compliance schedule in place for cogen units. EPA will need to start from scratch for smaller cogens.

"It is Further ordered that as of May 15, 2001, the date of this court's decision, the three-year compliance period for emissions limitations applicable to EGUs under the Section 126 Rule is tolled, pending EPA's resolution of the remand of EGU growth factors ordered by this court." Translation: This more significant part of the order "tolls" -- or puts on hold -- compliance with the 126 Rule for ALL ELECTRIC GENERATING UNITS (EGUs) until EPA resolves EGU growth factor issues that the court identified in its May 15, 2001 ruling.

Impact: The practical effect of this part of the order will be to delay implementation of the Section 126 Rule until May 2004, when the EPA's NOx SIP Call regulation is scheduled to go into effect. The EPA will not be able to re-issue its Section 126 rules in a time frame that would require compliance before May 2004. The NOx SIP Call would have supplanted the Section 126 Rule in May 2004 anyway -- what this ruling does is take away some of the uncertainty that existed for the May to September 2003 period (original effective date of the Section 126). This means that generators in states not covered already by existing NOx trading programs (OTR NOx program) will have another year to comply.

I will forward any more detailed legal analysis as I receive it, but this is the latest news.

Please call if you have any questions.

Jeff Keeler Director, Environmental Strategies Enron Corp (203) 245-0828 office (203) 464-1541 cell

Message 21 of 21

New Source Review & Multipollutant Update

Sender	jeffrey.keeler@enron.com
Recipients	['john.massey@enron.com', 'trevor.woods@enron.com', 'kevin.mcgowan@enron.com']
File	benson-r/inbox/201.

You may have seen recent media reports on the topics of possible EPA action= on New Source Review (NSR) regulation and multipollutant legislation, so I= wanted to summarize some of the important current developments:

New Source Review:

EPA was asked to conduct a 90-day review of NSR and come up with recommenda= tions for the larger Bush National Energy Plan. EPA held several public h= earings and solicited public comments, which closed July 27. Enron submit= ted comments (which I sent by e-mail on 7/30/01). EPA has indicated that = it will report to the President only on "impacts of NSR on the power sector= " on August 17 and delay any specific recommendations for NSR reform until = mid-September.

Stories in the past few days have suggested that EPA's findings will "ease = emissions standards" on coal utilities. Such characterizations are somewhat= slanted, as they are based on information coming from environmental groups= who oppose any NSR reform -- but there is some substantive merit behind th= ese reports as well.

NSR enforcement over plant modifications has been an extremely contentious = issue for electric utilities, and many industry sources have been lobbyin= g hard to relax EPA enforcement policy. From an administrative perspective, = this is a relatively easy reform for EPA to tackle -- it would only requir= e a change in "guidance" and not a lengthy regulatory process or legislatio= n. As you can see from the attached stories, environmental groups are ext= remely opposed to this type of action, and are using the media very effecti= vely to put pressure on EPA against such loosening of NSR enforcement stand= ards. EPA will likely recommend a number of broader administrative and legislativ= e changes to NSR, most requiring a longer trip through the legislative or r= egulatory process. Such changes could include reforms to BACT/LAER analys= is for new or existing sources, relief for cleaner sources, or standardizat= ion of some of the more arbitrary provisions of NSR. Given the longer-ter= m effort required, these proposed reforms may be newsworthy, but less likel= y to have an impact on the power sector in the short-term.

Some of the recent complicating issues have been calls from other industry = sectors (manufacturers, refining, industrial boilers, gas pipelines) for N= SR relief. EPA would prefer to address power sector issues only, but may b= e politically forced to make recommendations in other sectors as well. It = is not yet clear what sectors or what issues they will

address.

Possible Outcomes/Impacts: Large coal utilities have spent a great deal of resources putting pressure on the Administration on the modification & enforcement issues. The issue is the easiest short-term solution to offer from a regulatory standpoint, so despite environmental group opposition, it is likely that EPA will recommend immediate action in this area, along with longer-term reforms. For Enron businesses this means that coal, emissions and power trading should expect renewed strength in the coal generation sector, as older assets would face less barriers to extending their life. Origination opportunities (plant upgrades, capacity increases) may increase as customers fears about enforcement actions subside. Industrial and gas pipeline sectors may see relief in the modification area as well, if EPA decides to tackle sectors outside just power. Particularly on gas pipeline issues, turbine maintenance issues may be clear-cut enough for EPA to make a simple, short term recommendation.

Multipollutant Legislation

Also making news lately were statements by EPA Administrator Christine Whitman, indicating that EPA plans to release a proposal to scrap existing emissions regulations (NOx SIP Call/126 Rule, Regional Haze, SO2/Acid Rain) for a more streamlined "multipollutant" plan. Multipollutant strategies have been discussed for some time, but are becoming more newsworthy lately because they were included as possible options under the Bush Energy Plan, and offer potential solutions to NSR reform problems.

EPA's proposed elimination of existing air programs is not as drastic as it sounds -- in fact, it offers the opportunity to replace confusing, overlapping programs on multiple pollutants that are currently regulated or will soon be regulated by EPA with a more certain and flexible system. Prospects for development of a multipollutant trading plan that reforms NSR are much less predictable, however, and will require a longer-term legislative effort.

In September 2001, we expect to see release of EPA's plan, as well as congressional consideration of several pieces of multipollutant legislation. We are working closely with EPA, the White House, and Congress on these issues and will continue to keep commercial and corporate groups informed on the progress of multipollutant strategies. Unless political dynamics change drastically, we would not expect final action on multipollutant legislation this year. As the issue evolves, we will be in touch with more specifics on the legislation and Enron's strategy.

If you have questions or would like more information, please contact me.

=20

Jeffrey Keeler Director, Environmental Strategies Enron Washington DC office - (202) 466-9157 Cell Phone (203) 464-1541